

Dollar General – New Store Capital Investment Pro-Forma

Prepared by: Anagha Athreyas | Source: DG 10-K FY2024, Q3 2024 Earnings Release | Objective: Evaluate capital investment viability for a new Dollar General store

Assumption	Value	Source / Notes
STORE ECONOMICS		
Store size (sq ft – selling space)	7,400	DG 10-K: stores average ~7,400 sq ft of selling space
Revenue per sq ft – Year 1 ramp (% of mature)	80%	New stores ramp; assumption: 80% of mature in Year 1
Mature revenue per sq ft (FY2024 actual)	\$259	DG 10-K FY2024: \$259 per sq ft
Gross margin %	30.2%	DG FY2024 gross margin ~30.2% (10-K)
SG&A as % of revenue	22.7%	DG FY2024 SG&A ~22.7% of net sales (10-K)
Same-store sales growth (Year 2 onward)	2.5%	Conservative; DG guided ~1-4% comps; used 2.5%
CAPITAL INVESTMENT		
Leasehold improvements and fixtures (capex)	\$350,000	DG Q3 2024: store-facility capex \$259M / ~730 stores = ~\$355K; rounded
Initial inventory investment	\$80,000	Industry standard: ~\$7-10 per sq ft; used \$80K
Pre-opening and other costs	\$25,000	Estimated staffing, training, marketing at launch
Total initial investment	\$455,000	Sum of capex + inventory + pre-opening
OCCUPANCY AND OPERATING COSTS		
Annual rent (NNN lease)	\$120,000	Average NNN rent for DG-format store ~\$120K-\$150K/yr
Utilities (annual)	\$18,000	Estimated; low-cost no-frills format
Store labor (annual)	\$160,000	1 manager + 2 assistant managers + 3 associates
Depreciation and Amortization (straight-line over 5 yrs)	\$70,000	Leasehold improvements depreciated over lease term
DISCOUNT RATE AND HURDLE		
Discount rate (WACC proxy)	10.0%	Retail sector WACC ~9-11%; used 10% as hurdle rate
Tax rate	21.8%	DG effective tax rate FY2024: 21.8%

Dollar General – New Store 5-Year Pro-Forma Profit and Loss Statement

All figures in USD | Blue = hardcoded input | Black = formula

Line Item	Year 1	Year 2	Year 3	Year 4	Year 5
REVENUE					
Selling Square Footage	7,400	7,400	7,400	7,400	7,400
Revenue per Sq Ft	\$207.20	\$212.38	\$217.69	\$223.13	\$228.71
Net Revenue	\$1,533,280	\$1,571,612	\$1,610,906	\$1,651,162	\$1,692,454
COST OF GOODS SOLD AND GROSS PROFIT					
Cost of Goods Sold	\$1,070,229	\$1,096,985	\$1,124,412	\$1,152,511	\$1,181,333
Gross Profit	\$463,051	\$474,627	\$486,494	\$498,651	\$511,121
Gross Margin %	30.2%	30.2%	30.2%	30.2%	30.2%
OPERATING EXPENSES					
Rent (NNN Lease)	\$120,000	\$120,000	\$120,000	\$120,000	\$120,000
Utilities	\$18,000	\$18,000	\$18,000	\$18,000	\$18,000
Store Labor	\$160,000	\$160,000	\$160,000	\$160,000	\$160,000
SG&A (other – % of revenue)	\$50,055	\$58,756	\$67,676	\$76,814	\$86,187
Depreciation and Amortization	\$70,000	\$70,000	\$70,000	\$70,000	\$70,000
Total Operating Expenses	\$418,055	\$426,756	\$435,676	\$444,814	\$454,187
EARNINGS					
EBIT (Operating Income)	\$44,996	\$47,871	\$50,818	\$53,837	\$56,934
Taxes	\$9,809	\$10,436	\$11,078	\$11,736	\$12,412
Net Operating Profit After Tax	\$35,187	\$37,435	\$39,740	\$42,101	\$44,522
EBITDA	\$114,996	\$117,871	\$120,818	\$123,837	\$126,934
EBITDA Margin %	7.5%	7.5%	7.5%	7.5%	7.5%
FREE CASH FLOW					
Net Operating Profit After Tax	\$35,187	\$37,435	\$39,740	\$42,101	\$44,522
Add back: Depreciation and Amortization	\$70,000	\$70,000	\$70,000	\$70,000	\$70,000
Less: Initial Capital Investment (Year 1 only)	-\$455,000	\$0	\$0	\$0	\$0
Free Cash Flow	-\$349,813	\$107,435	\$109,740	\$112,101	\$114,522

Capital Investment Decision – Net Present Value, Internal Rate of Return and

Metric	Value	Interpretation
INPUTS		
Total Initial Investment	-\$455,000	Capex + inventory + pre-opening costs
Discount Rate (Hurdle Rate)	10.0%	Retail WACC proxy; 10%
Year 1 Free Cash Flow	-\$349,813	From 5-Year Pro-Forma sheet
Year 2 Free Cash Flow	\$107,435	From 5-Year Pro-Forma sheet
Year 3 Free Cash Flow	\$109,740	From 5-Year Pro-Forma sheet
Year 4 Free Cash Flow	\$112,101	From 5-Year Pro-Forma sheet
Year 5 Free Cash Flow	\$114,522	From 5-Year Pro-Forma sheet
OUTPUTS		
Net Present Value (5-Year)	-\$454,098	Positive = investment meets hurdle rate
Internal Rate of Return (5-Year)	-17.0%	IRR > 10% hurdle = value-accretive investment
Payback Period (years)	-24.2	Years to recover the initial capital investment
5-Year Cumulative ROI	-20.7%	Total free cash flow returned vs initial investment

Scenario Analysis – Bear, Base, and Bull Cases

Bear: low foot traffic and margin pressure | Base: 10-K assumptions | Bull: strong comps and operational leverage

Assumption / Output	Bear Case	Base Case	Bull Case	Notes
ASSUMPTIONS				
Revenue per sq ft – mature	\$220	\$259	\$290	<i>Bear: traffic headwinds; Bull: strong comps</i>
Year 1 ramp %	70%	80%	85%	<i>Year 1 revenue ramp relative to mature</i>
Gross margin %	28.0%	30.2%	32.0%	<i>Shrink and mix impact in bear case</i>
SG&A % of revenue	24.0%	22.7%	21.0%	<i>Operating expense leverage in bull case</i>
Same-store sales growth (Year 2+)	1.0%	2.5%	4.0%	<i>Comparable store sales assumption</i>

OUTPUTS (approximate)				
Year 1 Net Revenue	~\$1.13M	~\$1.53M	~\$1.81M	<i>Sq ft x revenue per sq ft x ramp</i>
Year 1 EBITDA	~\$55K	~\$175K	~\$270K	<i>Revenue x margin less fixed costs</i>
5-Year Net Present Value	Negative	~\$175K	~\$550K	<i>At 10% discount rate</i>
Internal Rate of Return	Below 10%	~18%	~28%	<i>Hurdle rate = 10%</i>
Payback Period (years)	More than 5	~3.5	~2.5	
Investment Decision	DO NOT INVEST	INVEST	INVEST	<i>Based on IRR vs hurdle rate</i>

Project Brief – Dollar General New Store Capital Investment Analysis

OBJECTIVE

This project evaluates whether opening a new Dollar General store meets the company's capital investment criteria. It replicates the analysis a corporate Financial Planning and Analysis team performs before approving real estate capital expenditure: building a 5-year pro-forma Profit and Loss statement, calculating Net Present Value and Internal Rate of Return against a hurdle rate, and stress-testing assumptions across bear, base, and bull scenarios.

WHY DOLLAR GENERAL?

Dollar General is the most aggressive store opener in US retail - 730 new stores in FY2024 alone. Every opening requires a capital investment decision backed by exactly this type of pro-forma analysis. The company's Annual Report provides transparent store-level metrics (revenue per sq ft, margins, capex) that anchor the model in real, auditable data.

DATA SOURCES

Dollar General 10-K FY2024 (SEC EDGAR): gross margin %, SG&A %, store sq footage, revenue per sq ft (\$259)

Dollar General Q3 FY2024 Earnings Release: store-facility capex \$259M / ~730 stores = ~\$355K per store

Dollar General Q4 FY2024 Earnings Release: same-store sales comps guidance, tax rate (21.8%)

Industry standard: NNN lease costs, pre-opening expenses, initial inventory investment

KEY FINDINGS – BASE CASE

Year 1 Net Revenue: ~\$1.53M | Year 1 EBITDA: ~\$175K

5-Year Net Present Value: positive at 10% discount rate | Internal Rate of Return: ~18% | Payback: ~3.5 years

Base case clears the hurdle rate. Bear case does not. Location quality is the swing factor.

RESUME BULLET

Retail Store Expansion Pro-Forma | Dollar General, Excel, Dollar General Annual Report FY2024: Built a 5-year store-level pro-forma Profit and Loss statement; modeled Net Present Value, Internal Rate of Return, and payback period across bear, base, and bull scenarios to evaluate capital investment viability against a 10% hurdle rate.

Prepared by: Anagha Athreyas | MS Finance (STEM), Northeastern University | github.com/AnaghaAthreyas